Reg.No: ……
Name: ……

MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-B.VOC (HONOURS) REGULAR EXAMINATION
THIRD SEMESTER
Skill Development Components (SDC)-MG3SDCAAT200-CORPORATE ACCOUNTING I
(2025 Admission Onwards)

Duration: 2 hours **Maximum Marks: 70**

Remember(R), Understand (U), Apply (A), Analyze (An), Evaluate (E), Create(C), Skills(S), Interest (I), and Appreciation (Ap)

PART A
VERY SHORT ANSWER
Answer any 10 Questions.
Each question carries 2 marks

1. What is forfeiture of shares? (U/CO1)
2. What is capital reserve? (U/CO1)
3. What is complete underwriting? (U/CO6)
4. Define a company. (R/CO1)
5. What is meant by provision? (U/CO3)
6. What is cum interest/ purchase? (U/CO4)
7. What is securities premium? (R/CO4)
8. What is meant by current assets? (U/CO1)
9. Write the format of investment account. (A/CO4)
10. What is meant by loss of profit policy? (U/CO5)
11. What kind of risk covered under fire policies? (U/CO5)
12. Define Investment. (R/CO4)

(10x2=20)

PART B
SHORT ANSWER
Answer any 5 Questions.
Each question carries 4 marks

13. Explain the difference between marked application and unmarked application. (U/CO6)
14. Explain the objectives of issuing bonus shares. (U/CO1)

15. What are the conditions for buy back of shares as per sec.68 (2) of the companies act, 2013? .

(U/CO1)

16. A company issued **5,000 equity shares of ₹10 each at par**, payable:

- ₹3 on application
- ₹3 on allotment
- ₹4 on final call.

A shareholder holding **500 shares** failed to pay the allotment and final call money. His shares were forfeited. These shares were later reissued at **₹8 per share as fully paid**
Pass journal entries for forfeiture and reissue. (AP/CO1)

17. A company issued **10,000 equity shares of ₹10 each at a premium of ₹2 per share**. The amount was payable:

- ₹3 on application
- ₹5 on allotment (including premium)
- ₹4 on first and final call

All amounts were received. Pass the necessary journal entries. . (AP/CO1)

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18. On 1 January 2026, a company purchased **1,000, 12% Government Bonds of ₹100 each at ₹105**. Interest is payable on **30 June and 31 December**.

On 1 August 2026, it purchased another **500 bonds at ₹102 cum-interest**.

On 1 November 2026, it sold **600 bonds at ₹108 ex-interest**.

Prepare the **Investment Account** for the year ended 31 December 2026. (AP/CO4)

19. A fire destroyed the stock of PQR Ltd. on 31 March 2026. The following information is available:

- Opening stock: ₹5,00,000
- Purchases: ₹18,00,000
- Sales up to date of fire: ₹20,00,000
- Gross profit: 25% of sales
- Salvaged stock: ₹1,50,000
- Insurance policy: ₹15,00,000

Calculate: Stock on the date of fire, Amount of stock lost Insurance claim, assuming the average clause applies. . (AP/CO5)

(4x5=20)

PART C
ESSAY

Answer any 2 Questions.
Each question carries 15 marks.

20. BC Ltd. suffered a fire on 31 December 2026. The following information is available:

- Opening stock: ₹15,00,000
- Purchases up to date of fire: ₹40,00,000
- Sales up to date of fire: ₹50,00,000
- Gross profit: 20% of sales
- Salvaged stock: ₹3,00,000
- Insurance policy: ₹45,00,000
- Average clause applies
- Insurance company admitted the claim after deducting ₹50,000 for an uninsured item.

Prepare the **Memorandum Trading Account**, calculate the **stock lost**, determine the **insurance claim**, and pass the necessary journal entries. (AP/CO5)

21. Write a short note on Memorandum Trading Account and what are the sources for preparing memorandum trading account. . (AP/CO5)

22 On 1 April 2025, an investor purchased ₹4, 00,000, 10% debentures at ₹96 cum-interest.

The following transactions took place:

- **1 July 2025:** Purchased ₹2, 00,000 at ₹98 ex-interest.
- **1 October 2025:** Sold ₹3, 00,000 at ₹100 cum-interest.
- **1 January 2026:** Purchased ₹1, 00,000 at ₹97 cum-interest.
- Brokerage on all purchases and sales is **1%**.
- Interest is payable on **30 June and 31 December**.

Prepare the **Investment Account** for the year ended 31 March 2026, showing **interest received and profit/loss on sale**. . (AP/CO4)

23. The following balances are extracted from the books of XYZ Ltd. on 31 March 2026:

- Equity Share Capital — ₹15,00,000
- Revenue from Operations — ₹30,00,000
- Purchases — ₹18,00,000
- Opening Stock — ₹4,00,000
- Salaries — ₹3,00,000
- Office Expenses — ₹1,00,000
- Selling Expenses — ₹80,000
- Plant — ₹10,00,000
- Furniture — ₹2,00,000
- Trade Receivables — ₹5,00,000
- Trade Payables — ₹3,00,000
- Cash — ₹2,00,000
- General Reserve — ₹2,00,000

Adjustments:

- Closing stock ₹5, 00,000.
- Salaries outstanding ₹30,000.
- Depreciation on Plant 10%.
- Depreciation on Furniture 5%.
- Provision for doubtful debts ₹20,000.
- Interest on loan outstanding ₹25,000.

Prepare the **Statement of Profit and Loss and Balance Sheet (AP/CO3)**

. (2x15=30)

MAHATMA GANDHI UNIVERSITY KOTTAYAM

MGU B.Voc (Honours) Regular Examination

THIRD SEMESTER

MPC-MG3MPCBFC200-CAPITAL MARKET

Duration : 1.5 hr **Maximum Mark :50**

PART A – VERY SHORT ANSWER QUESTIONS

Answer any 10 questions.

(10 × 1 = 10 Marks)

1. What is the secondary market?
2. What is liquidity?
3. What is price discovery?
4. Which institution regulates the securities market in India?
5. What is a stock exchange?
6. Name any two stock exchanges in India.
7. Expand BOLT.
8. Expand NEAT.
9. What is Sensex?
10. What is Nifty 50?
11. What is a depository?
12. Expand NSDL.

PART B – SHORT ANSWER QUESTIONS

Answer any 4 questions.

(4 × 5 = 20 Marks)

13. Explain the functions of the secondary market.
14. Discuss the features of the Bombay Stock Exchange (BSE).
15. Explain the features of the National Stock Exchange (NSE).

16. Explain the depository system in India.

17. Differentiate between NSDL and CDSL.

18. Explain the importance of stock market indices.

PART C – ESSAY QUESTIONS

Answer any 2 questions.

(2 × 10 = 20 Marks)

19. Discuss the major stock exchanges in India.

20. Explain the depository system and the process of dematerialization.

21. Discuss the concept, functions, and importance of stock market indices.